

Warsaw, December 21, 2023

Decision

DOKE.561.14.2023

Based on Article 104 § 1 of the Act of June 14, 1960, the Code of Administrative Procedure (Journal of Laws of 2023, item 775, as amended) in connection with Article 7 sections 1 and 2, Article 60, Article 101, Article 101a section 2, and Article 103 of the Act of May 10, 2018 on the Protection of Personal Data (Journal of Laws of 2019, item 1781, consolidated text) and based on Article 57 section 1 letters a) and h), Article 58 section 2 letter i), Article 83 sections 1-3, Article 83 section 4 letter a) in connection with Article 31 and Article 83 section 5 letter e) in connection with Article 58 section 1 letters a) and e) of the Regulation of the European Parliament and of the Council (EU) 2016/679 of April 27, 2016 on the protection of natural persons in relation to the processing of personal data and on the free movement of such data, and repealing Directive 95/46/EC (General Data Protection Regulation) (OJ EU L 119 of 04.05.2016, p. 1, with amendments published in OJ EU L 127 of 23.05.2018, p. 2, and in OJ EU L 74 of 04.03.2021, p. 35, hereinafter referred to as "Regulation 2016/679"), after conducting an ex officio administrative proceeding regarding the imposition of an administrative monetary penalty on K. sp. z o.o. sp. k. based in W. at ul. (...), the President of the Personal Data Protection Office, finding that K. sp. z o.o. sp. k. based in W. at ul. (...) violated the provisions of Article 31 and Article 58 section 1 letters a) and e) of Regulation 2016/679, consisting of a lack of cooperation with the President of the Personal Data Protection Office in the performance of his duties and failing to provide the President of the Personal Data Protection Office access to personal data and information necessary for the performance of his tasks, imposes on K. sp. z o.o. sp. k. based in W. at ul. (...) an administrative monetary penalty in the amount of 18,864 PLN (in words: eighteen thousand eight hundred sixty-four zlotys).

JUSTIFICATION

Factual Background

On February 2, 2023, a complaint was submitted to the President of the Personal Data Protection Office (hereinafter referred to as "the President of UODO", "the Authority") by Mr. B. M., residing in S. at ul. (...) (hereinafter referred to as "the Complainant"), represented by attorney T. Ł. (Law Office, ul. (...), (...) S.) regarding irregularities in the processing of his personal data by F. sp. z o.o. based in K., consisting of the processing and sharing of the Complainant's personal data with unauthorized entities without a legal basis. By a decision dated April 18, 2023, the President of UODO separated the case files registered under the reference DS.523.2411.2023 regarding the irregularities in the processing of the Complainant's personal data by K. sp. z o.o. sp. k. based in W. (hereinafter referred to as "the Company") into a separate proceeding.

In the context of the aforementioned proceeding – acting under Article 58 section 1 letters a) and e) of Regulation 2016/679 – the President of UODO, by letter dated April 28, 2023, called upon the Company to respond to the content of the complaint and to provide explanations regarding the matter by answering the following questions:

- 1) whether, and if so, when (on what date), from what source, for what purpose and to what extent the Company obtained the Complainant's personal data regarding: first name, last name, profession, specialization, place of professional activity, professional title, function performed at the place of professional activity, contact details, professional license number, academic degree, NIP and REGON;
- 2) whether the Company currently processes the Complainant's personal data regarding: first name, last name, profession, specialization, place of professional activity, professional title, function performed at the place of professional activity, contact details, professional license number, academic degree, NIP and REGON, and if so, on what legal basis (please specify the specific legal provision) and for what purpose; if this data has already been deleted, please indicate when this occurred;
- 3) whether the Company received the Complainant's objection to the processing of his personal data, and if so, on what date, and when and how it responded to it (please send any correspondence conducted with the Complainant);
- 4) whether the Company has shared/is sharing the Complainant's personal data with other entities,

and if so, which ones (please specify their full name and registered office address), on what date, on what legal basis (please specify the specific legal provision), for what purpose and to what extent.

The request was sent to the Company's registered office address disclosed in the National Court Register, namely ul. (...), (...) W., and was received by the Company on May 8, 2023. Despite receiving the aforementioned letter, the Company did not comply with the Authority's request. By letter dated June 1, 2023, the President of UODO again requested the Company to respond to the content of the complaint and to provide answers to the questions contained in the request of April 28, 2023 (see point 2 of the justification). The request was received by the Company on June 13, 2023; however, as of the issuance of this decision, the letter remained unanswered.

In connection with the lack of response to the summons dated April 28, 2023, and June 1, 2023, by a letter dated July 11, 2023, the President of the Personal Data Protection Office (UODO) once again requested the Company to provide answers to the questions contained in the summons dated April 28, 2023. This letter was returned to the Office with the annotation "RETURNED not collected in time," which is why – based on Article 44 § 4 in conjunction with Article 45 of the Act of June 14, 1960, the Code of Administrative Procedure (Journal of Laws of 2023, item 775, as amended) (hereinafter referred to as "k.p.a.") – it was deemed to have been duly delivered on July 28, 2023.

The letters addressed to the Company by the President of UODO dated June 1, 2023, and July 11, 2023, contained a notice indicating that failure to provide explanations in the matter may constitute a violation of the obligation to cooperate with the Authority, which may consequently result in the imposition of an administrative monetary penalty on the Company in accordance with Article 83 § 4(a) and Article 83 § 5(e) of Regulation 2016/679.

The above factual circumstances were established by the President of UODO based on the entirety of the official correspondence directed to the Company, which is included in the case files under reference DS.523.2411.2023. This correspondence fully and exhaustively documents all attempts made by the President of UODO to gain access to personal data and information necessary to perform his duties – in this case, to consider the matter under reference DS.523.2411.2023, and on the other hand, reflects the lack of response from the Company to the requests of the President of UODO in this administrative proceeding.

Proceedings

Due to the Company's failure to provide the information necessary to resolve the matter under reference DS.523.2411.2023, the President of UODO initiated, ex officio – based on Article 83 § 4(a) and 83 § 5(e) of Regulation 2016/679 – these administrative proceedings under reference DOKE.561.14.2023 concerning the imposition of an administrative monetary penalty on the Company for violating Article 31 and Article 58 § 1(a) and (e) of Regulation 2016/679.

The Company was informed of the initiation of the proceedings by a letter dated August 29, 2023 (reference: DOKE.561.14.2023). This correspondence, addressed to the Company's registered office as indicated in the National Court Register (see point 2 of the justification), was received by the Company on September 5, 2023. By this letter, the Company was summoned to establish the basis for the calculation of the administrative monetary penalty based on Article 101a § 1 of the Act of May 10, 2018, on the protection of personal data (Journal of Laws of 2019, item 1781, consolidated text, hereinafter referred to as "u.o.d.o."), to present a financial statement or another document showing the amount of turnover and financial result achieved by it in 2022.

The Company was informed of the nature of the alleged violation; it was also instructed about the sanctions that may be imposed for this violation, as well as about the still existing possibility of providing explanations requested by the President of UODO, which could have a mitigating effect on the amount of the administrative monetary penalty imposed in this case. Furthermore, the Company was informed of the possibility to express its opinion – before the issuance of the administrative decision – regarding the collected evidence and materials as well as the submitted requests.

The Company did not take any action in response to the information about the initiation of these proceedings. After reviewing all the evidence collected in the case, the President of the Personal Data

Protection Office considered the following.

Legal Provisions

According to Article 57 § 1(a) of Regulation 2016/679, the President of UODO – as the supervisory authority within the meaning of Article 51 of Regulation 2016/679 – monitors and enforces the application of this regulation within its territory. As part of its competencies, the President of UODO examines, among other things, complaints lodged by data subjects, conducts proceedings regarding those complaints to the appropriate extent, and informs the complainant of the progress and results of those proceedings within a reasonable time (Article 57 § 1(f) of Regulation 2016/679) and conducts proceedings regarding the application of this regulation, including based on information received from another supervisory authority or another public authority (Article 57 § 1(h) of Regulation 2016/679).

To enable the realization of the tasks defined in this manner, the President of UODO has a number of powers specified in Article 58 § 1 of Regulation 2016/679 concerning the proceedings conducted, including the power to order the controller and the processor to provide all information necessary to carry out its tasks (Article 58 § 1(a) of Regulation 2016/679) and the power to obtain from the controller and the processor access to all personal data and information necessary to carry out its tasks (Article 58 § 1(e) of Regulation 2016/679).

A violation of the provisions of Regulation 2016/679 consisting of the failure of the controller or processor to provide access to personal data and information resulting in a violation of the rights of the authority specified in Article 58 § 1 of this legal act is subject – in accordance with Article 83 § 5(e) in fine of Regulation 2016/679 – to an administrative monetary penalty of up to EUR 20,000,000, or in the case of an enterprise – up to 4% of its total annual worldwide turnover from the previous financial year, with the higher amount applying.

Additionally, both the controller and the processor are obliged, at the request of the supervisory authority, to cooperate with it in the performance of its tasks, as provided for in Article 31.

Regulation 2016/679. Failure to comply with this obligation is subject to an administrative fine of up to EUR 10,000,000, and in the case of an enterprise, up to 2% of its total annual worldwide turnover from the previous financial year, with the higher amount applicable, in accordance with Article 83(4)(a) of Regulation 2016/679.

According to Article 83(3) of Regulation 2016/679, in the event of a breach by the controller or processor within the same or related processing operations of several provisions of this regulation, the total amount of the administrative fine may not exceed the amount of the fine for the most serious breach.

When assessing whether, and if so, to what extent an administrative fine should be imposed, the supervisory authority is obliged to take into account the following circumstances (criteria for determining the fine) specified in Article 83(2) of Regulation 2016/679:

- a) the nature, gravity, and duration of the infringement, taking into account the nature, scope, or purpose of the processing in question, the number of data subjects affected, and the level of damage suffered by them,
- b) the intentional or negligent character of the infringement,
- c) actions taken by the controller or processor to mitigate the damage suffered by data subjects,
- d) the degree of responsibility of the controller or processor, taking into account the technical and organizational measures implemented by them pursuant to Articles 25 and 32,
- e) any relevant previous infringements by the controller or processor,
- f) the degree of cooperation with the supervisory authority to remedy the infringement and mitigate its possible adverse effects,
- g) categories of personal data affected by the infringement,
- h) the manner in which the supervisory authority became aware of the infringement, in particular, whether and to what extent the controller or processor reported the infringement,
- i) if measures referred to in Article 58(2) have previously been applied to the controller or processor in the same matter – compliance with those measures,

- j) the application of approved codes of conduct pursuant to Article 40 or approved certification mechanisms pursuant to Article 42,
- k) any other aggravating or mitigating factors applicable to the circumstances of the case, such as financial benefits directly or indirectly obtained as a result of the infringement or losses avoided.

15. Furthermore, the supervisory authority – in accordance with Article 83(1) of Regulation 2016/679 – ensures that the administrative fines imposed are effective, proportionate, and dissuasive in each individual case (principles of penalty assessment).

16. For the purpose of determining the basis for the administrative fine, the entity against which the administrative fine proceedings are conducted is obliged, at the request of the President of the UODO, to provide, within 30 days from the date of receipt of the request, the data necessary to determine that basis (Article 101a(1) of the Personal Data Protection Act). In the event of failure to provide this data by the entity subject to the penalty, the President of the UODO establishes the basis for the administrative fine in an estimated manner, taking into account the size of the entity, the specifics of its activities, or publicly available financial data concerning the entity (Article 101a(2) of the Personal Data Protection Act).

17. The equivalent amounts expressed in euros referred to in Article 83 of Regulation 2016/679 are calculated in zlotys according to the average euro exchange rate announced by the National Bank of Poland in the exchange rate table on January 28 of each year, and in the event that the National Bank of Poland does not announce the average euro exchange rate on January 28 of a given year – according to the average euro exchange rate announced in the nearest exchange rate table of the National Bank of Poland after that date (Article 103 of the Personal Data Protection Act).

18. Pursuant to Article 60 of the Personal Data Protection Act, proceedings regarding violations of personal data protection regulations are conducted by the President of the UODO. Furthermore, Article 7(1) of the Personal Data Protection Act states that in matters not regulated by this Act, the provisions of the Code of Administrative Procedure apply to administrative proceedings before the President of the UODO (including proceedings regarding the imposition of administrative fines referred to in Chapter 11 of the Personal Data Protection Act). According to Article 7(2) of the Personal Data Protection Act, these proceedings are single-instance proceedings.

19. The provisions of Article 44 § 4 of the Code of Administrative Procedure and Article 44 § 1 of the Code of Administrative Procedure, in connection with Article 45 of the Code of Administrative Procedure, state that the fiction of delivery occurs upon the expiration of the last day of the period, which is 14 days in the case of delivering a letter to the registered office address of a legal entity by a postal operator, and the letter is left in the case files.

Legal Assessment

20. Relating the above-mentioned provisions of Regulation 2016/679 to the established factual state in this case, it should first be considered whether the Company is the addressee of the obligations referred to in Articles 31 and 58(1)(a) and (e) of Regulation 2016/679, the violation of which is subject to an administrative fine under Article 83(4)(a) and (5)(e) of Regulation 2016/679. Both of the aforementioned provisions of Regulation 2016/679 impose procedural obligations – within the proceedings conducted by the President of the UODO – on controllers and processors. In case DS.523.2411.2023, the President of the UODO established, based on the information and evidence presented by the Complainant in their complaint, that personal data of the Complainant regarding their first name, surname, profession, specialization, place of professional practice, professional title, position held at the place of professional practice, contact details, professional license number, academic degree, NIP number, and REGON number - have been made available to the Company as a separate Administrator. This fact was also confirmed by the explanations submitted in the proceedings DS. 523.801.2023 by the company F. sp. z o.o., which indicated that the Company obtained access to the database provided by F. sp. z o.o. under a licensing agreement. Among the personal data contained in the database made available under the agreement were also the aforementioned personal data of the Complainant, until their removal due to

the filing of an objection.

21. In the proceedings under reference DS.523.2411.2023, in order to obtain information necessary for the consideration of the complaint and exercising the right referred to in Article 58(1)(a) and (e) of Regulation 2016/679, the President of UODO made three requests to the Company to respond to the content of the complaint and to provide explanations in the form of answers to specific questions regarding the case (see point 2 of the justification). Two of the requests sent to the Company were received on May 8, 2023, and June 13, 2023, respectively. The subsequent letter dated July 11, 2023, was not received by the Company despite being notified twice, and therefore it was considered duly delivered to the Company in accordance with Article 44 § 4 in conjunction with Article 45 of the Administrative Procedure Code. The authority did not receive a response from the Company by the date of issuing this decision. Consequently, due to the described inaction of the Company, the President of UODO did not gain access to the personal data and information necessary to perform his tasks – in this case, to examine the merits of the Complainant's complaint.

22. This situation was not altered by the initiation of proceedings by the President of UODO regarding the imposition of an administrative monetary penalty on the Company (reference DOKE.561.14.2023). The letter dated August 29, 2023, addressed to the Company within the framework of this proceeding (see point 7 of the justification), despite being duly received on September 5, 2023, remained unanswered. In the opinion of the President of UODO, this indicates a dismissive attitude of the Company towards the Authority and the ongoing proceedings.

23. The actions of the Company consisting of failing to provide the President of UODO with access to information necessary for him in the proceedings under reference DS.523.2411.2023 also exhaust the characteristics of a violation of Article 31 of Regulation 2016/679. Cooperation with the supervisory authority in the performance of its tasks, which is the subject of the obligation specified in this provision, also includes the obligation to present to the President of UODO – at his request – all information held by the administrator related to the proceedings conducted by him and to provide – within its framework – access to all personal data and information necessary for this proceeding. The lack of access to the information that the President of UODO requested from the Company is an obstacle to the objective, thorough, and comprehensive consideration of the case under reference DS.523.2411.2023. In this regard, it should be concluded that there were grounds in the case justifying the imposition of an administrative monetary penalty on the Company – pursuant to Article 83(5)(e) in fine and Article 83(4)(a) of Regulation 2016/679 – in connection with the lack of cooperation with the supervisory authority in the performance of its tasks (Article 31 of Regulation 2016/679) and in connection with the failure of the Company to provide access to personal data and information necessary for the President of UODO to perform his tasks, namely to resolve the case under reference DS.523.2411.2023.

24. The consequence of the lack of access to the information that the President of UODO requested from the Company was an obstacle to the objective, thorough, and comprehensive consideration of the case, as well as an unjustified extension of the duration of the proceedings initiated by the Complainant's complaint, which in turn contradicted the fundamental principles governing administrative proceedings – defined in Article 12(1) of the Administrative Procedure Code regarding the principles of thoroughness and speed of proceedings.

25. At the same time, due to the determination of the Company's violation of the provisions, namely Article 31 and Article 58(1)(a) and (e) of Regulation 2016/679, pursuant to the content of Article 83(3) of this legal act, the President of UODO determined the amount of the imposed administrative monetary penalty not to exceed the amount of the penalty for the most serious of these violations. In the presented factual state, the President of UODO considered the most serious violation to be the failure of the Company to provide the President of UODO with access to all personal data and information necessary to perform his tasks, namely the violation of Article 58(1)(a) and (e) of Regulation 2016/679, punishable by a fine of up to 20,000,000 EUR, and in the case of an enterprise, up to 4% of its total annual turnover from the previous financial year, depending on which amount is higher. The seriousness of this violation is evidenced by the fact that the lack of access to personal

data and information that the President of UODO requested from the Company hinders the objective, thorough, and comprehensive consideration of the case.

Conditions and principles for the imposition of an administrative monetary penalty

26. Pursuant to Article 83(2) of Regulation 2016/679, administrative monetary penalties are imposed depending on the circumstances of each individual case. In each case, attention is drawn to a number of circumstances listed in points (a) to (k) of the aforementioned provision (see point 16 of the justification). In deciding to impose an administrative monetary penalty on the Company in this case and determining its amount, the President of UODO took into account the following circumstances that weigh against the assessment of the violation:

27. Nature, gravity, and duration of the violation (Article 83(2)(a) of Regulation 2016/679).

The violation subject to an administrative monetary penalty in this case undermines the system aimed at protecting one of the fundamental rights of individuals, which is the right to the protection of their personal data, or more broadly – the right to privacy. An essential element of this system, the framework of which is defined by the provisions of Regulation 2016/679, is the supervisory authorities, which have been assigned tasks related to the protection and enforcement of individuals' rights in this area. In order to enable the realization of these tasks, the supervisory authorities have been equipped with a range of supervisory powers, powers enabling the conduct of administrative proceedings, and remedial powers. On the other hand, administrators and processors have been imposed, correlated with the powers of the supervisory authorities, specific obligations, including the obligation to provide these authorities with access to personal data and information necessary for the realization of their tasks. The importance of violating these obligations has been emphasized by the EU legislator itself, who provided for a higher penalty for their violation under two provisions of Regulation 2016/679 – a penalty of up to EUR 20,000,000, and in the case of an enterprise – up to 4% of its total annual worldwide turnover from the previous financial year, with the higher amount applying. The Company's conduct in this case, consisting of hindering and preventing access to the information and personal data requested by the President of the UODO, should be regarded as undermining the entire system of personal data protection, and thus of significant importance and reprehensible nature. The gravity of the violation is further increased by the fact that the violation committed by the Company was not a one-time and incidental event. The Company's failure was continuous and prolonged, lasting from the moment the 7-day deadline for submitting explanations expired, set in the first request directed to the Company in the proceedings under reference DS.523.2411.2023, that is, from May 15, 2023, until the date of the issuance of the administrative decision concluding this proceeding.

28. Intentional nature of the violation (Article 83(2)(b) of Regulation 2016/679).

In the opinion of the President of the UODO, there was a conscious and deliberate lack of willingness on the part of the Company to cooperate in ensuring the supervisory authority access to all information necessary to resolve the matter, which the President of the UODO had requested from it multiple times. The failure to respond to the correspondence directed to the Company is assessed by the President of the UODO as a deliberate action hindering or even preventing him from assessing the merits of the complaint filed by the Complainant. It is worth noting that the correspondence directed to the Company was received from the postal facility, where the shipments were left, by the same person. Two delivery confirmations indicate that the shipment was handed over to "the addressee's representative." It should therefore be presumed that the individuals managing the Company were aware of the content of the President of the UODO's requests and the consequences of not providing explanations to the Authority (see points 2, 3, 5, 7 of the justification). This state indicates a lack of willingness to cooperate with the Authority or at least constitutes a gross disregard for its obligations related to this cooperation, thus proving the Company's awareness that its conduct constitutes a violation of the provisions of Regulation 2016/679. In light of the above, in the opinion of the President of the UODO, the violation committed by the Company was intentional, and therefore this circumstance should be assessed negatively and considered as aggravating in the context of determining both the justification for imposing and the amount of the imposed penalty.

29. Degree of cooperation with the supervisory authority in order to remedy the violation and mitigate

its potential negative effects (Article 83(2)(f) of Regulation 2016/679).

During the course of this proceeding regarding the imposition of an administrative monetary penalty on the Company, the Company did not undertake any degree of cooperation with the President of the UODO. In particular, the Company did not provide the information requested by the President of the UODO, which could have been treated as an action aimed at remedying the violation identified in this case or mitigating its effects. Such a lack of cooperation with the President of the UODO resulted in hindering and unjustifiably prolonging the proceedings conducted by the President of the UODO. The Company's persistence in a state of violation (lack of willingness to restore a lawful state by fulfilling its procedural obligations in the proceedings before the President of the UODO) affects – in the opinion of the President of the UODO – negatively on the assessment of the identified violation.

30. In the opinion of the President of the UODO, none of the circumstances referred to in Article 83(2) of Regulation 2016/679 argue for mitigating the established – taking into account the above-mentioned aggravating circumstances – dimension of the penalty imposed by this administrative decision.

31. Other circumstances, as indicated below, referred to in Article 83(2) of Regulation 2016/679, after assessing their impact on the identified violation in this case, have been deemed by the President of the UODO as neutral in his assessment, meaning they have neither an aggravating nor mitigating effect on the dimension of the imposed administrative monetary penalty:

Any relevant prior violations by the administrator (Article 83(2)(e) of Regulation 2016/679). The President of the UODO did not find that the Company had previously committed any violations of data protection regulations, which is why there are no grounds to treat this circumstance as aggravating. And since such a state (fulfilling obligations arising from data protection regulations) is a natural state in the legal environment in which the Company operates, it cannot have...

on the mitigating influence on the assessment of the violation made by the President of the UODO.

****The manner in which the supervisory authority became aware of the violation (Article 83(2)(h) of Regulation 2016/679).** ****** The President of the UODO obtained information about the violation identified in this case ex officio by analyzing the course of the proceedings pending before him under reference DS.523.2411.2023. This is a natural way of obtaining information about such a violation, resulting from the President of the UODO's competence to assess the course of these proceedings and to determine what information is necessary for him to resolve the ongoing case. Therefore, there are no grounds for a negative assessment of the fact that the information about the violation did not come from the Company; however, this fact cannot also be taken into account to the Company's benefit since it did not participate in the obtaining of information about the violation by the President of the UODO.

****Compliance with previously applied measures in the same case, as referred to in Article 58(2) of Regulation 2016/679 (Article 83(2)(i) of Regulation 2016/679).** ****** Prior to issuing this decision, the President of the UODO did not apply any measures to the Company in the case under consideration as listed in Article 58(2) of Regulation 2016/679, which means that the Company had no obligation to take any actions related to their application, and such actions, if assessed by the President of the UODO, could have a burdensome or mitigating effect on the assessment of the identified violation.

****Application of approved codes of conduct or approved certification mechanisms (Article 83(2)(j) of Regulation 2016/679).** ****** The Company does not apply the instruments referred to in Articles 40 and 42 of Regulation 2016/679. Their adoption, implementation, and application are not, as provided by the provisions of Regulation 2016/679, mandatory for controllers, which means that the circumstance of their non-application cannot be considered against the Company in this case. However, the circumstance of adopting and applying such instruments as measures guaranteeing a higher than standard level of protection of personal data processed could be taken into account in favor of the Company.

****Financial benefits obtained directly or indirectly in connection with the violation or avoided losses (Article 83(2)(k) of Regulation 2016/679).** ****** The President of the UODO did not find that the Company, in connection with the failure to provide the requested information, gained any financial benefits or avoided such losses. Therefore, there are no grounds for treating this circumstance as burdensome for

the Company. The establishment of measurable financial benefits resulting from the violation of the provisions of Regulation 2016/679 should be assessed very negatively. On the other hand, the Company's failure to achieve such benefits, as a natural state resulting from the assumption that an entrepreneur conducting business activities achieves financial benefits (profits) on the condition of complying with applicable legal requirements, is a circumstance that, by its very nature, cannot be mitigating for it. This is confirmed by the very wording of Article 83(2)(k) of Regulation 2016/679, which requires the supervisory authority to pay due attention to the benefits "obtained" – that is, those that occurred on the part of the entity committing the violation.

****Other aggravating or mitigating factors (Article 83(2)(k) of Regulation 2016/679).** ****** The President of the UODO, comprehensively considering the case, did not note any circumstances other than those described above that could influence the assessment of the violation and the amount of the imposed administrative monetary penalty.

32. ****Other circumstances mentioned in Article 83(2) of Regulation 2016/679 could not be taken into account by the President of the UODO due to the specific nature of the violation (concerning the relationship between the controller and the supervisory authority, and not with the individuals whose data are concerned).** ****** These are:

- ****The number of affected individuals and the extent of the damage suffered by them (Article 83(2)(a) of Regulation 2016/679)** ****** – due to the fact that the violation (the Company's failure to provide the President of the UODO with access to necessary information) is not associated with the violation of personal data of any individual, consequently, no damages occurred in the case for individuals;
- ****Actions taken by the controller to minimize the damage suffered by the individuals whose data are concerned (Article 83(2)(c) of Regulation 2016/679)** ****** – due to the fact that no damages occurred for individuals in the case, there is no obligation or possibility for the Company to take any actions aimed at minimizing them;
- ****The degree of responsibility of the controller, taking into account the technical and organizational measures implemented by them under Articles 25 and 32 of Regulation 2016/679 (Article 83(2)(d) of Regulation 2016/679)** ****** – due to the fact that the violation in its very essence is not related to the technical and organizational measures implemented by the Company to ensure the protection of personal data and the security of their processing;
- ****Categories of personal data to which the violation pertained (Article 83(2)(g) of Regulation 2016/679)** ****** – due to the fact that the violation consisting of failing to provide access to information necessary for the President of the UODO to perform his tasks is not associated with the violation of any personal data.

33. Pursuant to the wording of Article 83(1) of Regulation 2016/679, the administrative monetary penalty imposed by the supervisory authority should be effective, proportionate, and deterrent in each individual case. In defining the aforementioned principles of imposing administrative monetary penalties, reference should be made to the views of the doctrine.

****Personal Data Protection Rights.** ****** "A sanction is effective if it allows achieving the goal for which it was introduced. A sanction is proportional if it does not exceed the threshold of hardship defined by considering the circumstances of the specific case. A sanction is deterrent if it serves the purposes of individual and general prevention; in other words, it constitutes a clear signal of disapproval of the violation for society, as well as for the addressee of the sanction" (P. Litwiński (ed.), Regulation of the European Parliament and of the Council (EU) 2016/679 of April 27, 2016 [...]; Commentary on Art. 83 [in:] P. Litwiński (ed.) General Data Protection Regulation. Personal Data Protection Act. Selected Sectoral Provisions. Commentary). The principles of imposing administrative monetary penalties as defined require reference to the size, financial capabilities, and market position of the penalized entity, and as a measure of these attributes of the penalized entity, in the case of a business, Regulation 2016/679 allows for the adoption of the total annual global turnover from the previous financial year (Art. 83(5) of Regulation 2016/679). Complementing this principle, Article 101a(2) of the Personal Data Protection Act states that in the absence of such data, the President of the Personal Data Protection

Office establishes the basis for calculating the administrative monetary penalty based on estimates regarding the size of the entity, the specificity of the activity it conducts, or generally available financial data concerning the entity. Referring to the economic potential of the penalized entity is necessary because, among other reasons, a penalty that is disproportionately low in relation to the financial capabilities of the violator (a penalty that is practically "invisible" to that entity) will not be effective and deterrent for that entity; on the other hand, a penalty that is too burdensome (a penalty whose payment threatens the existence of the entity) will not be a proportional penalty.

34. In the opinion of the President of the Personal Data Protection Office, the penalty imposed on the Company in this proceeding corresponds to the principles indicated in Art. 83(1) of Regulation 2016/679. Its financial severity will discipline the Company to cooperate correctly with the President of the Personal Data Protection Office in proceedings conducted with its participation before the President of the Personal Data Protection Office. In terms of disciplining the Company, the penalty will therefore be effective (it will achieve its goal). The penalty imposed by this decision is also, in the opinion of the President of the Personal Data Protection Office, proportional to the seriousness of the established violation and to the possibility of its bearing by the Company without significant detriment to its business operations. This penalty will also serve a deterrent function; it will be a clear signal for the Company, obliged under the provisions of Regulation 2016/679 to cooperate with the President of the Personal Data Protection Office, that neglecting obligations related to cooperation with him (in particular, obstructing access to personal data and information necessary for the performance of his tasks) constitutes a violation of great importance and as such will be subject to financial sanctions.

35. Due to the Company's failure to provide the financial data requested by the President of the Personal Data Protection Office for the year 2022, in determining the amount of the administrative monetary penalty in this case, the President of the Personal Data Protection Office took into account, based on Art. 101a(2) of the Personal Data Protection Act, the estimated size of the Company and the specificity, scope, and scale of the activity it conducts. The scope of its activity focuses primarily on activities related to (...). The Company has been present in the Polish market for many years (the Company's entry into the Register of Entrepreneurs of the National Court Register took place (...)). The Company is an active VAT payer (data from the VAT taxpayer register – www.podatki.gov.pl/wykaz-podatnikow-vat-wyszukiwarka). There is currently no bankruptcy or liquidation proceeding against the Company. The Company regularly submits annual financial statements to the KRS since (...) year. According to the data contained in the last financial statement of the Company for the financial year 2022, from January 1 to December 31, 2022, the Company achieved net sales revenue of (...) PLN, while in the period from January 1 to December 31, 2021, it was an amount of (...) PLN. This data supports the recognition of the Company as a profitable and well-functioning entity.

36. Given that the entity subject to sanction in this case operates on a small scale, the administrative monetary penalty imposed on it by this decision is relatively low (constituting 0.02% of the maximum penalty that, according to Art. 83(5)(e) in fine of Regulation 2016/679, the President of the Personal Data Protection Office could impose for the violation established in this case) will be a burdensome and thus effective penalty for the Company, but also one that can be borne without threatening the material basis of its existence and the business it conducts.

37. Taking into account the provisions of Art. 103 of the Personal Data Protection Act, the President of the Personal Data Protection Office imposed on the Company – using the average euro exchange rate from January 30, 2023 (where 1 EUR = 4.7160 PLN) – an administrative monetary penalty in the amount of 18,864 PLN (in words: eighteen thousand eight hundred sixty-four zlotys, which is equivalent to 4,000 euros – in words: four thousand euros).

Considering the above, the President of the Personal Data Protection Office ruled as stated in the operative part of this decision.

****Instruction****

The decision is final. According to Art. 53 § 1 of the Act of August 30, 2002 on Proceedings Before

Administrative Courts (Journal of Laws of 2023, item 1634, as amended), (hereinafter referred to as "p.p.s.a."), the Party has the right to file a complaint to the Provincial Administrative Court in Warsaw within 30 days from the date of its delivery, through the President of the Personal Data Protection Office (address: ul. Stawki 2, 00-193 Warsaw). A fee must be paid for the complaint, in accordance with Art. 231.

in connection with Article 233 of the Administrative Procedure Code. According to Article 74 of the Act of May 10, 2018 on the Protection of Personal Data (Journal of Laws of 2019, item 1781 consolidated text) (hereinafter referred to as "u.o.d.o."), the filing of a complaint by the Party to the administrative court suspends the execution of the decision regarding the administrative monetary penalty.

In the proceedings before the Provincial Administrative Court, the Party has the right to apply for legal aid, which includes exemption from court fees and the appointment of a lawyer, legal advisor, tax advisor, or patent attorney. Legal aid may be granted upon the Party's request submitted before the initiation of the proceedings or during the proceedings. The application is free of court fees.

According to Article 105, paragraph 1 of the u.o.d.o., the administrative monetary penalty must be paid within 14 days from the expiry of the deadline for filing a complaint to the Provincial Administrative Court, or from the day the administrative court's ruling becomes final, to the bank account of the Personal Data Protection Office at NBP branch in Warsaw no. 28 1010 1010 0028 8622 3100 0000.

Furthermore, according to Article 105, paragraph 2 of the u.o.d.o., the President of the Personal Data Protection Office may, upon a justified request from the penalized entity, postpone the deadline for payment of the administrative monetary penalty or allow it to be paid in installments. In the case of postponement of the deadline for payment of the administrative monetary penalty or allowing it to be paid in installments, the President of the Personal Data Protection Office calculates interest on the unpaid amount at an annual rate, applying a reduced late payment interest rate, announced based on Article 56d of the Act of August 29, 1997 - Tax Ordinance (Journal of Laws of 2023, item 2383 consolidated text), from the day following the day the application is submitted.

Print article

Metadata

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Department of Penalties and Enforcement

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